

Entrepreneurship

Forms of business (Lecture 5)



Learning Goals

In this chapter students will be able to understand:

1. The concepts of different forms of business
2. The importance of different forms of business
3. The characteristics of different forms of business
4. The most suitable form of business
5. The registration of sole proprietorship
6. The registration of partnership
7. The registration of company
8. The most important documents in company
9. The dissolutions of all forms of business.
- The role of SMC in facilitating business activities
11. The franchising an appropriate form of organization.
12. The mergers and acquisitions concept.



Types of Business Ownership

Sole Proprietorship?

Partnership?

Companies?

Franchising?



DEFINITIONS

SOLE PROPRIETORSHIP

“Sole proprietorship form of business ownership in which the Business is owned and operated by one person”.

PARTNERSHIP

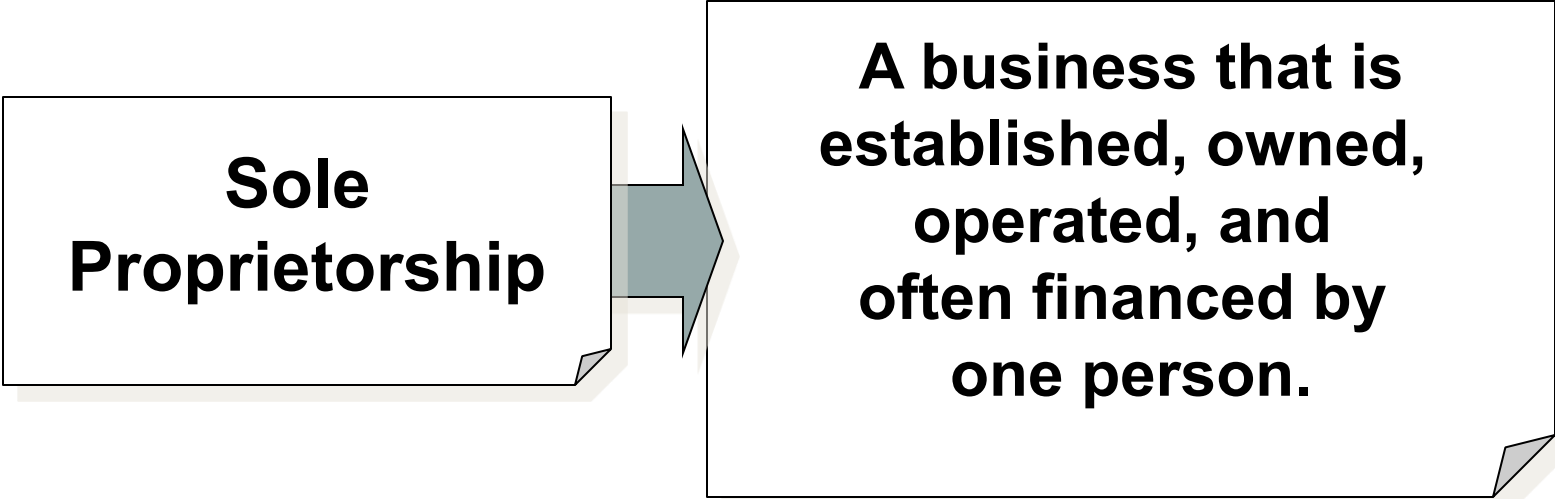
Partnership is the relation between persons who have agreed to share the profits of a business carried on by all or anyone acting for all
(Partnership act 1932)
(Poonch House)

JOINT STOCK COMPANY

Company is an artificial person created by law having separate entity with a perpetual succession and common seal.
(company ordinance 1984)
(SECP)

Sole Proprietorship

**Sole
Proprietorship**



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graph LR; A[Sole Proprietorship] --> B[A business that is established, owned, operated, and often financed by one person.];
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**A business that is
established, owned,
operated, and
often financed by
one person.**

Sole Proprietorship

Advantages

- **Easy and inexpensive to form**
- **Profits go to the owner**
- **Direct control of the business**
- **Freedom from government regulations**
- **No special taxation**
- **Ease of dissolution**
- **Control over working conditions**
- **Flexible Management**
- **Relationship with Customer**
- **Motivation**
- **Secrecy**
- **Self-Employment**
- **Power to start and close the business**
- **Social Benefits**

Sole Proprietorship

Disadvantages

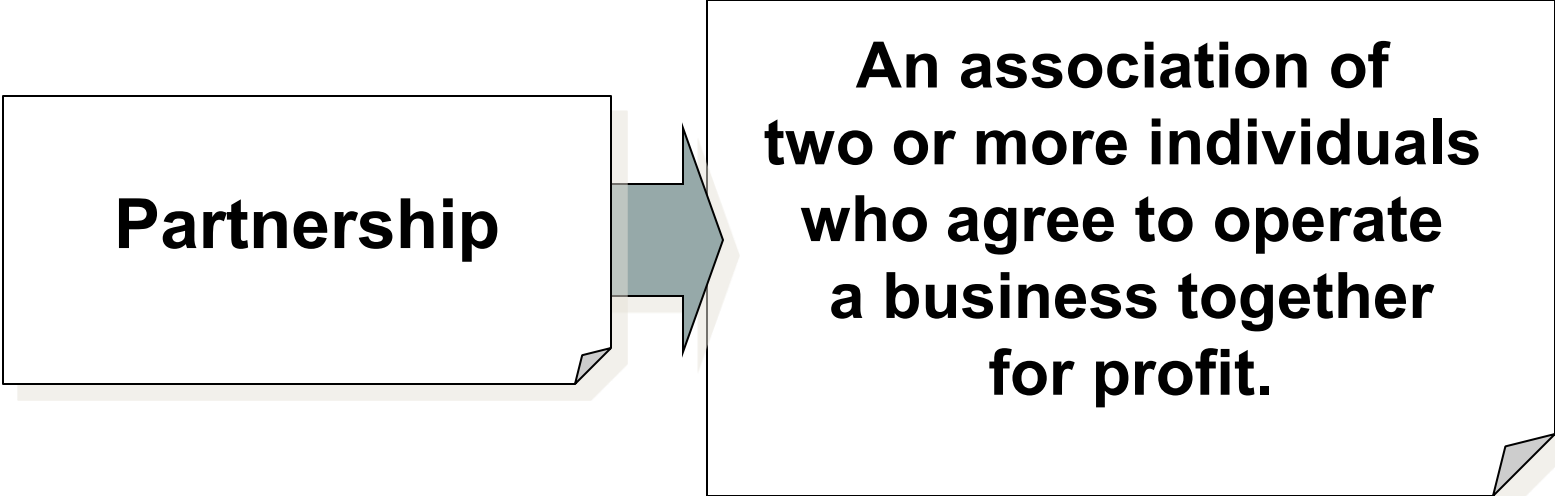
- | | |
|--|---|
| <ul style="list-style-type: none">■ Unlimited Liability■ Difficulty in Raising Capital■ Difficulty of Expansion■ Limited Managerial Expertise■ Trouble Finding Qualified Employees■ No special taxation■ Personal Time Commitment | <ul style="list-style-type: none">■ Unstable business life■ Loss in Absence■ Losses are owner's responsibility■ Pressure of Work |
|--|---|

Sole Proprietorship Will Be Suitable For?

- **Are setting up a new business**
- **Do not need much capital to get the business going**
- **Will be dealing mainly with the public, for example, retailing or services like hairdressing.**

Partnerships

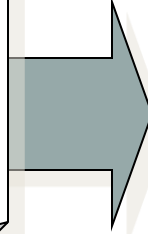
Partnership



**An association of
two or more individuals
who agree to operate
a business together
for profit.**

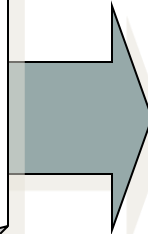
Types of Partners

General partners



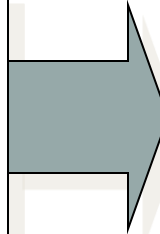
- ❖ **Active Partner**
- ❖ **Sleeping Partner**

Special Partners



Whose Liability is Limited

Other Partners



- ❖ **Secret Partner**
- ❖ **Nominal Partner**
- ❖ **Minor Partner**
- ❖ **Partner at Will**
- ❖ **Partners in Profit only**

Partnerships

Advantages

- ❖ **Ease of formation**
- ❖ **Availability of capital**
- ❖ **Sharing of Responsibilities**
- ❖ **Better Management**
- ❖ **Favorable Credit Standing**
- ❖ **Diversity of skills**
- ❖ **Flexibility**
- ❖ **No special taxes**
- ❖ **Relative freedom from government control**
- ❖ **Motivation**
- ❖ **Brake on Hasty Decisions**

Disadvantages

- ❖ **Unlimited liability**
- ❖ **Potential for conflicts between partners**
- ❖ **Sharing of profits**
- ❖ **Difficulty exiting or dissolving**
- ❖ **Chances of Fraud**
- ❖ **Lack of Public Confidence**
- ❖ **Frozen Investment**

Partnership Deed

Partnership deed is a document which contains all the matters determining and governing the mutual rights, duties and liabilities of the partners



Basis of Formation

Defines the Rights, Duties, & Liabilities

Minimize Areas of Disputes

Clauses of Partnership Deed

- **Name and location of business.**
- **The nature of business.**
- **The amount of capital to be contributed by each partner.**
- **Provisions of reinvestment in business.**
- **The duties, powers and obligations of partners.**
- **Length or life of business.**
- **The method of distribution of profit and sharing of the losses.**
- **Method of admitting a new partner.**
- **Procedure of withdrawal of a partner.**



Clauses of Partnership Deed

- The method of valuation of goodwill.
- The method of revaluation of assets.
- Procedure for expulsion of a partner.
- What if a partner becomes insolvent.
- Salary, if any, payable to the partners.
- Method of preparing accounts.
- Procedure for the dissolution of the firm and settlement of accounts.
- Arbitration in case of disputes among partners.
- Operation of bank account.

Dissolution of a Partnership Firm

Dissolution by Agreement

Dissolution by Notice

Compulsory Dissolution

Contingent Dissolution

Dissolution by the Court

Partnership Will Be Suitable For

- **People want to avoid legal complications**
- **Requirement of the Business**
- **Partners are well known to each other**

Company & its Characteristics

**A legal entity with an existence and life
Separate from its owners, who are not
personally liable for the entity's debts.**

Separate from its Owners

Can make Legal Agreements

Accounts are kept secret from owners

Jointly Owned by Shareholders

Classification of Company

There are mainly two types of Company

***Private Limited
Company***

***Public Limited
Company***

Private Limited Company & its Restrictions

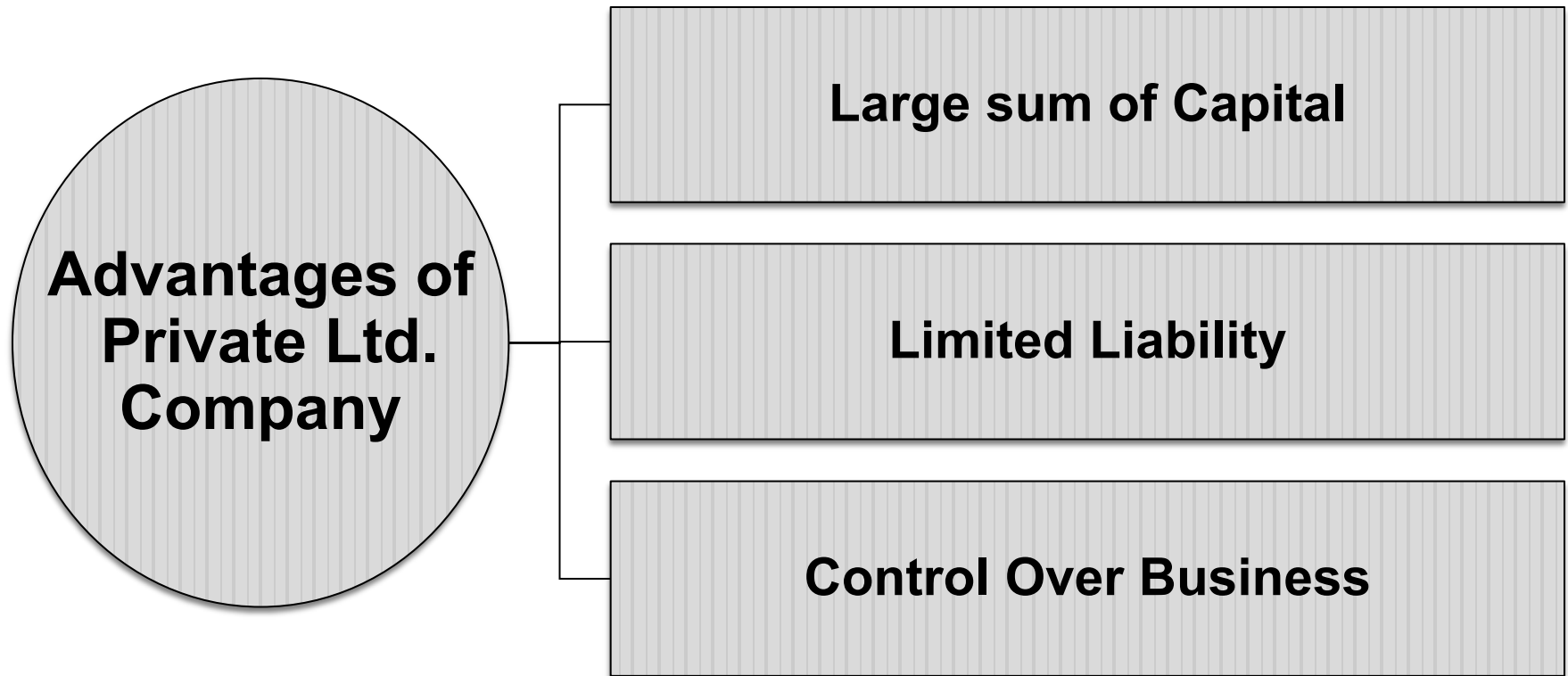
**In a private limited company,
the directors are usually the most
important or majority shareholders.**

Maximum number of members cannot exceed 50

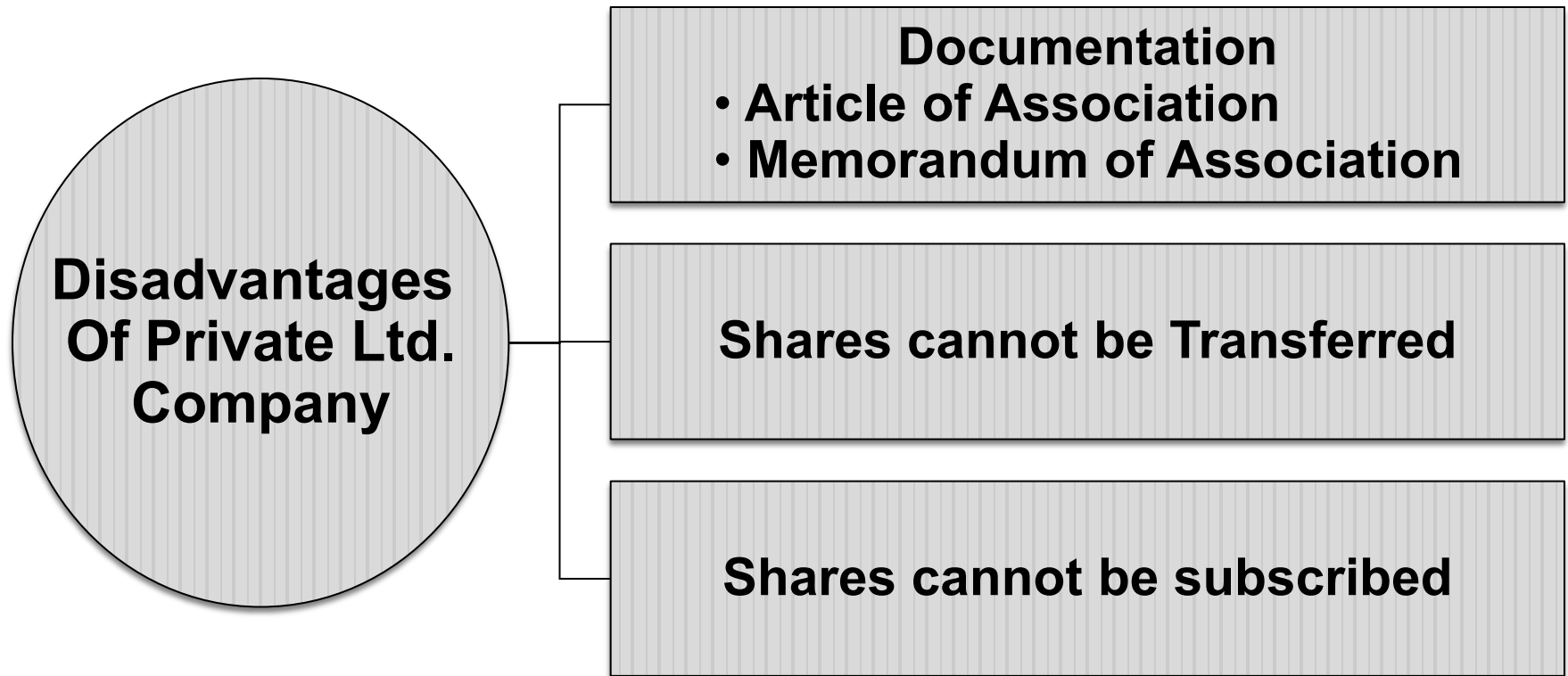
Shares are not transferrable

Shares & debentures cannot be subscribed

Advantages of Private Limited Company



Disadvantages of Private Limited Company



Private Ltd. Company Will Be Suitable For

- **For family businesses**
- **Who wants to raise sufficient funds**
- **Partners are well known to each other**

Conversion of Private Limited Company into Public Limited Company

**According to Section 45 of the Companies Ordinance,
a private company to become public shall
have to alter its articles**

Restricting the right to transfer its shares

Limiting the number of its members to 50

**Prohibiting any invitation to the public
to subscribe for any shares or
term loans shall have to be excluded
from the Articles.**

Public Limited Company & its Features

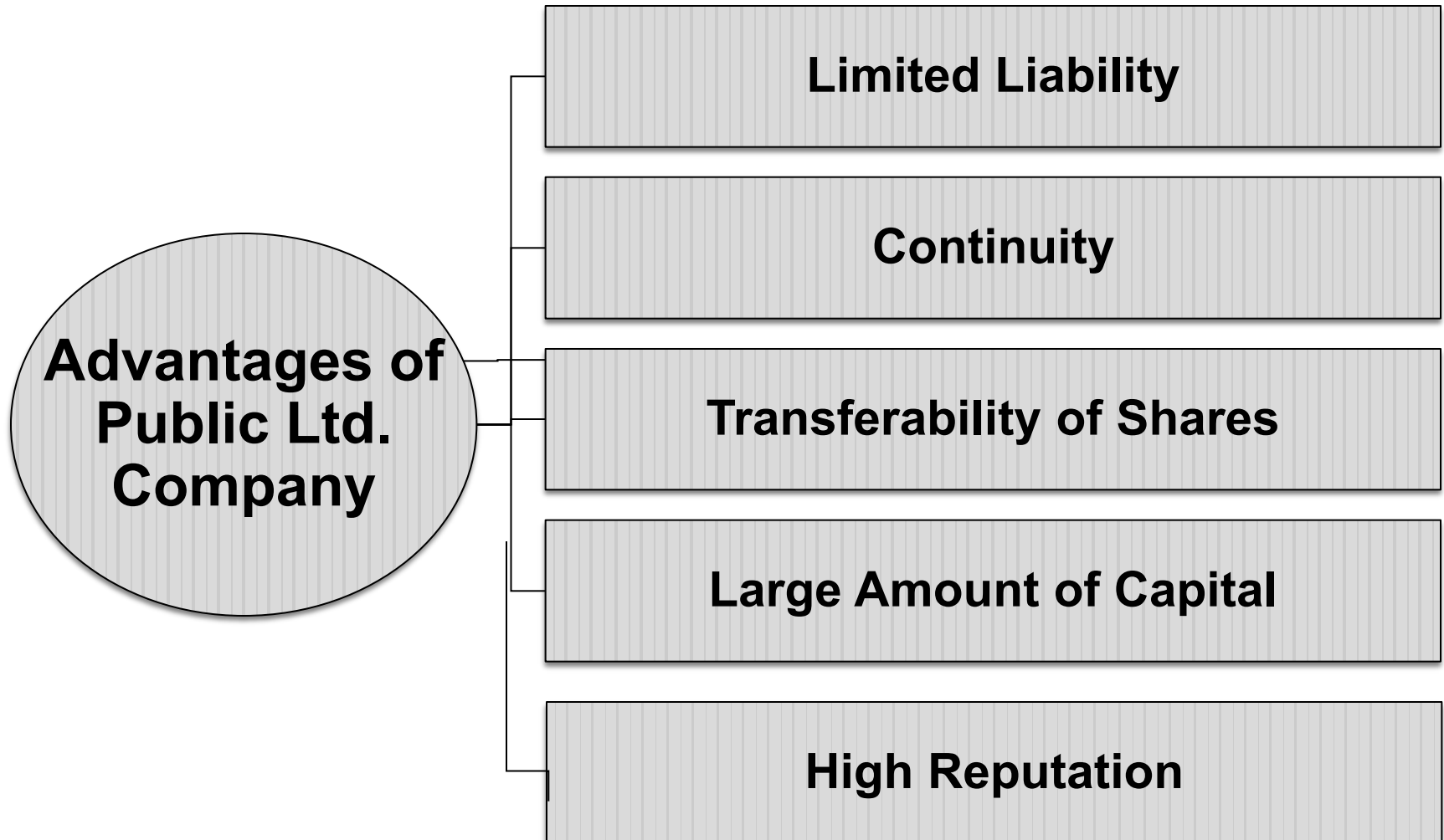
**A Public Limited Company must have
at least seven members to form it.
There is no restriction on the maximum
Number of shares**

Invites People to Purchase its Shares

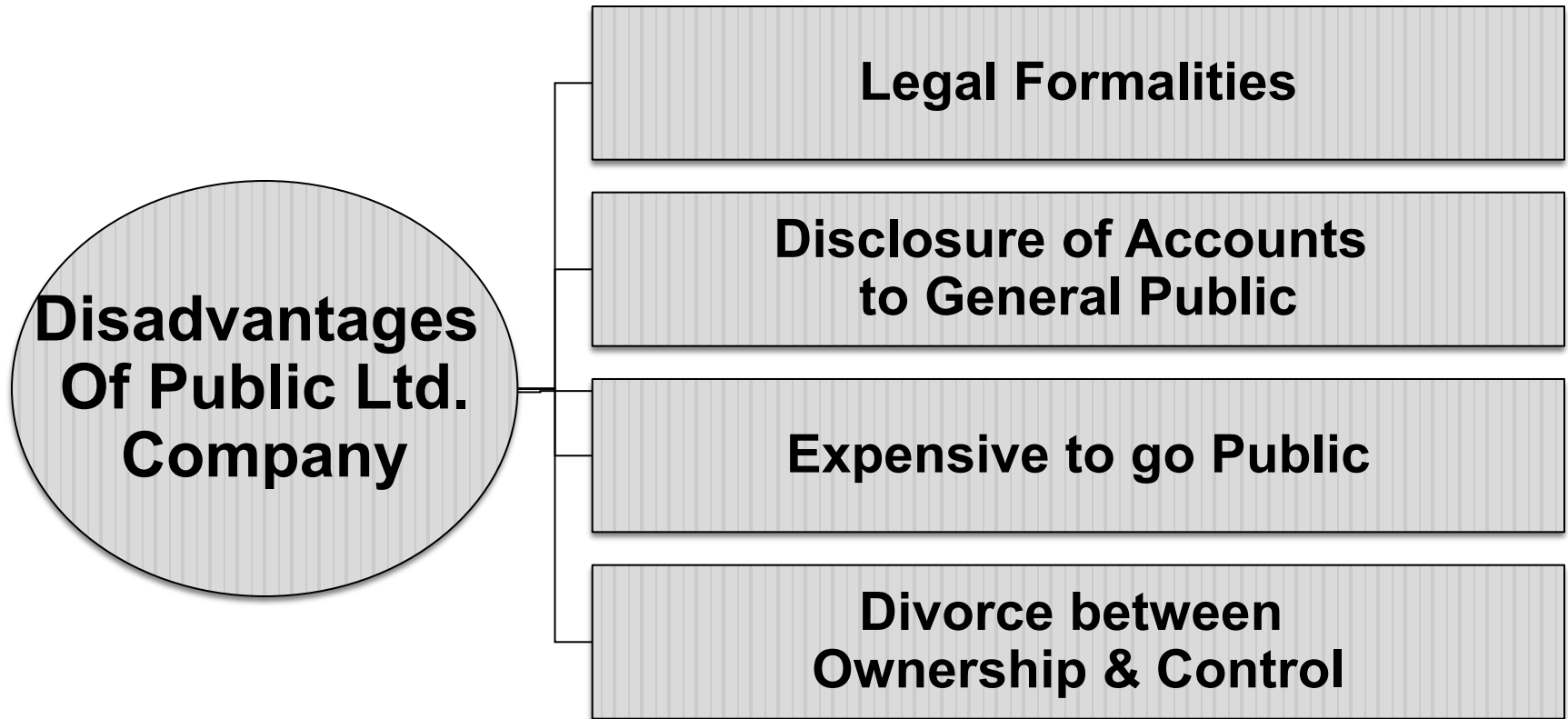
The Liability of the Members is Limited

Shares are Freely Sold and Purchased

Advantages of Public Limited Company



Disadvantages of Public Limited Company



Ownership in Public Limited Company

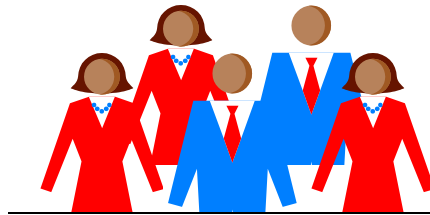
- In all sole trader businesses and partnerships the owners has control over how their business is run.
- With a public limited company the situation is very different.
- Even millions in the case of the largest companies
- It would be impossible for all those people to be involved in taking decisions

The Corporate Structure

Stockholders



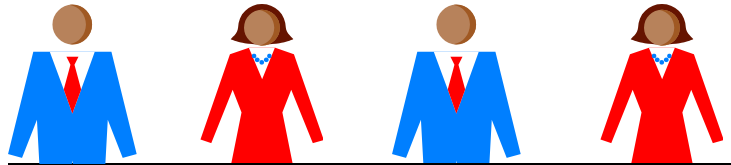
Directors



Elect



Officers



Hire



President

VP

Treasurer

Secretary

Characteristics of Any Business Activity

**Alternation in Memorandum of Association
that it is now a public limited company**

**A certain minimum value of shares
must be issued.**

Accounts must be lay down

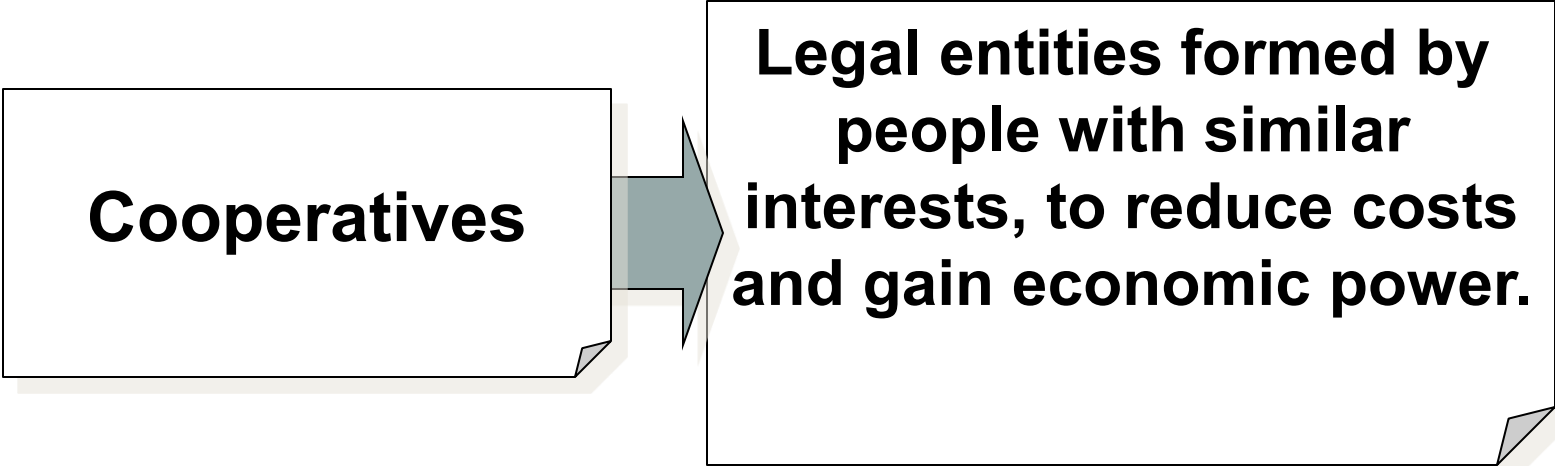
***A Company will apply for a
Stock Exchange “Listing”***

***The Company will now issue
a “Prospectus”***

**Does a company have other
business organization options
in addition to sole
proprietorships, partnerships,
and corporations?**

Cooperatives

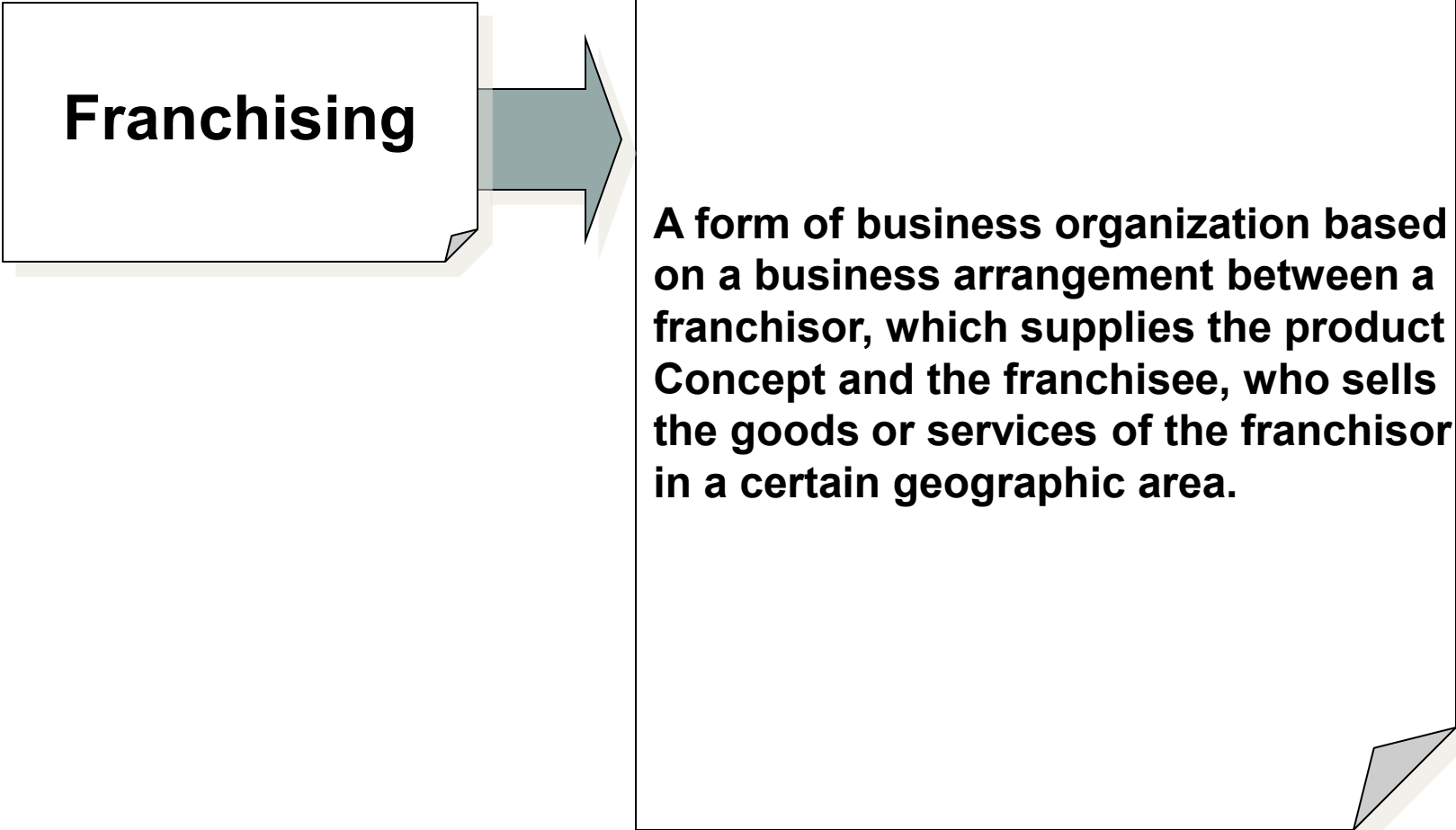
Cooperatives



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graph LR; A[Cooperatives] --> B[Legal entities formed by people with similar interests, to reduce costs and gain economic power.];
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Legal entities formed by people with similar interests, to reduce costs and gain economic power.

Franchising



Franchising

A form of business organization based on a business arrangement between a franchisor, which supplies the product Concept and the franchisee, who sells the goods or services of the franchisor in a certain geographic area.

Franchise

Advantages

- Increased ability for franchisor to expand
- Recognized name, product, and operating concept
- Management training and assistance
- Financial assistance

Disadvantages

- Loss of control
- Cost of franchising
- Restricted operating freedom